Harcourt Pryor Valuers Pty Ltd
Property valuation and advisory

Independent Valuation
Meridian Logistics Estate

Market valuation for first mortgage security purposes: 45 Meridian Boulevard, Trug

Prepared for Quillwood Credit Partners
Valuation date: 20 February 2026
Version 1.0 (Final)
Harcourt Pryor Valuers Pty Ltd
Reference: HPV/VAL/2026/0217
Date: 20 February 2026

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Borrower / owner	Meridian Logistics Estate Pty Ltd
ABN	98 445 227 419
Registered office	Level 14, 400 Collins Street, Melbourne VIC 3000
Sponsor	Arcadia Industrial Group Pty Ltd (trading as Arcadia Industrial)
Property	Meridian Logistics Estate, 45 Meridian Boulevard, Truganina VIC 3029
Prepared for	Quillwood Credit Partners
Prepared by	Harcourt Pryor Valuers Pty Ltd
Date of inspection	17 February 2026
Date of valuation	20 February 2026
Version	1.0 (Final)

Report details

1. Executive summary

Harcourt Pryor Valuers Pty Ltd (Harcourt Pryor) has been instructed by Quillwood Credit Partners (Quillwood) to assess the market value of Meridian Logistics Estate, 45 Meridian Boulevard, Truganina, for first mortgage security purposes. The property is owned by Meridian Logistics Estate Pty Ltd, a single-purpose entity controlled by Arcadia Industrial. Quillwood is considering a senior secured investment term facility (interest only) of A$88.0M over the property, as arranged by Kerrigan Hale Capital Pty Ltd.

The estate is a completed and stabilised industrial and logistics asset comprising four modern warehouses with a combined gross lettable area (GLA) of 64,000 sqm on a site of 13.3 hectares. It is 97.5% occupied by seven tenants, with a weighted average lease expiry (WALE) of 6.1 years by income and fixed annual rent escalations averaging 3.5%. One tenancy of 1,600 sqm is vacant.

Having regard to the matters in this report, we assess the market value of the freehold interest, as is, subject to the existing tenancies and the assumptions in Section 9, at:

Market value (as is)	A$150,500,000
Value per sqm of GLA	A$2,352
Net operating income adopted	A$7.9M per annum
Capitalisation rate adopted	5.25%
Land value (component)	A$46.0M
Total development cost (per sponsor)	A$118.4M
Facility limit / LVR	A$88.0M / 58.5%

Valuation conclusion

The adopted value rests primarily on direct capitalisation of net income, supported by a ten year discounted cash flow and by analysis of recent sales of comparable western Melbourne estates. The property is of a quality, scale and tenure profile that we consider well suited to institutional ownership, and in our opinion it is readily saleable in the current market within a normal marketing period.

The principal matters affecting the security are tenant concentration (the largest tenant contributes 31.0% of income and the top three contribute 68.0%), leasing of the vacant tenancy and of the 2031 and 2032 expiries, sensitivity of value to capitalisation rates, and the single asset nature of the

security. These are discussed in Sections 5, 7 and 8.

2. Instructions and scope

2.1 Purpose and basis of value

This valuation is provided for first mortgage security purposes only. The basis of value is Market Value, being the estimated amount for which an interest in real property should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion. The valuation has been prepared in accordance with the Australian Property Institute Valuation Standards and the International Valuation Standards.

2.2 Proposed facility

We understand that the proposed facility has a limit of A$88.0M, a tenor of 60 months and an interest only structure with a bullet repayment at maturity. Proceeds are to refinance the existing construction and bridging facilities on completed Stages 1 to 3, fund transaction costs and an interest reserve, and fund minor capital works of A$1.6M for the remaining vacant tenancy. Indicative pricing has been reported to us as 3 month BBSW plus 2.35% per annum, subject to credit approval. Pricing and covenants are matters for Quillwood and do not form part of our assessment.

2.3 Information relied upon

We have relied on the Information Memorandum dated 9 February 2026 provided by Arcadia Industrial, the tenancy schedule and lease abstracts supplied with it, and our own inspection and market research. The following documents are referred to in the transaction timetable but were not available to us at the valuation date:

- The quantity surveyor's report by Danforth Quantity Surveyors Pty Ltd (expected 27 February 2026). Total development cost of A$118.4M is taken from the Information Memorandum and has not been verified.
- Audited financial statements (expected 6 March 2026) and management accounts (expected 13 March 2026). Revenue of A$9.8M, EBITDA of A$7.9M and net debt of A$85.6M are as reported in the Information Memorandum.
- The term sheet (expected 27 March 2026).
- Legal due diligence by Marlowe & Finch Lawyers, including title, planning certificates and lease verification.

If any of these documents discloses information materially different from that relied upon, we should be asked to review this valuation. Quillwood should not treat this report as final for credit approval purposes until the quantity surveyor's report and lease verification have been received and reviewed by us.

3. Location and market

3.1 Location

Truganina is in Melbourne's western industrial corridor in the City of Wyndham, about 22 kilometres west of the Melbourne CBD. The estate has direct access to the Princes Freeway and the Western Ring Road, giving connection to the Port of Melbourne, Melbourne Airport and the interstate road network. The surrounding precinct is characterised by large floorplate modern warehouses occupied by third party logistics operators, food distributors and e-commerce fulfilment users. A substantial residential catchment to the west supports labour supply and last mile distribution.

3.2 Market conditions

The western Melbourne industrial market is the largest and most liquid in Victoria. Rental growth has moderated from the peak of 2022 and 2023 as significant new speculative and pre-committed supply has been delivered, and incentives on new leases have risen for larger floorplates. Capitalisation rates for prime, long WALE estates have stabilised after the widening of 2023. Institutional and private capital remains active for stabilised assets with fixed escalations of 3.0% or more, which is the primary reason such assets continue to trade at yields in the low to mid 5% range.

Planning controls favour continued industrial development in the corridor, but the same land supply that supports long term growth also places a ceiling on rents for secondary quality stock. The subject estate competes at the prime end of the market, where tenant demand has been most resilient.

4. Property description

4.1 Site

The site has an area of 13.3 hectares (133,000 sqm) and was acquired by Meridian Logistics Estate Pty Ltd on 14 June 2019 for A$46.0M, equivalent to about A$346 per sqm of site area. Total GLA of 64,000 sqm represents a building to site ratio of about 48%, which allows generous truck circulation, hardstand and on-site parking. The site is zoned for industrial use under the Wyndham Planning Scheme. Formal planning certificates are to be obtained through legal due diligence.

4.2 Improvements

The estate was developed by Arcadia Industrial in three stages between 2020 and 2024. The four warehouses are of modern construction with clear internal heights of 12 to 14 metres, ESR-rated hardstand, 24/7 operating approvals and rooftop solar on all buildings. Our inspection found the buildings to be well presented and consistent in condition with their age. We observed no defects that would affect value, although we are not building surveyors and have not tested services.

Stage / warehouse	GLA (sqm)	Practical completion	Leasing at completion
Stage 1 (Warehouse 1)	18,000	26 March 2021	100%, 10 year term
Stage 2 (Warehouses 2 and 3)	31,500	18 November 2022	90% pre-committed
Stage 3 (Warehouse 4)	14,500	30 September 2024	89%
Total	**64,000**		**97.5% at December 2025**

Development stages and completion

4.3 Environmental and planning

The site is former agricultural land. A historical contamination assessment is on file and was provided to us in summary only. We have assumed that the site is suitable for its current industrial use and that no remediation liability exists. The 24/7 operating approvals depend on continued compliance with EPA Victoria conditions. We have not been provided with evidence of any breach. Quillwood should obtain an environmental review as part of its own due diligence.

5. Tenancy and income

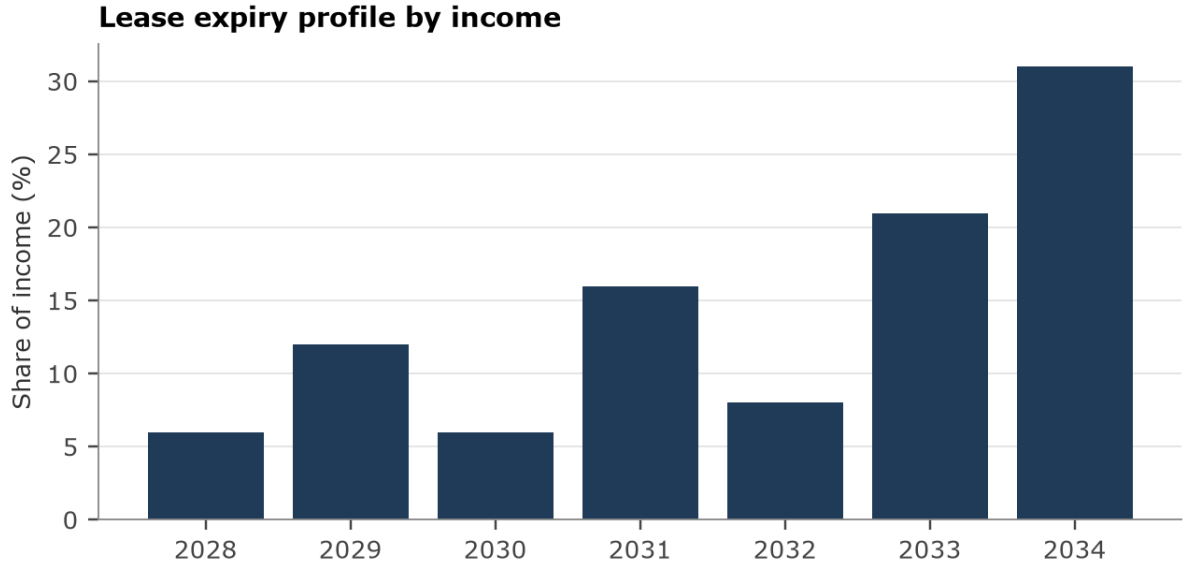
5.1 Tenancy profile

The estate is let to seven tenants in third party logistics, food distribution and e-commerce fulfilment. Leases are net, with fixed annual escalations averaging 3.5%, and outgoings are recovered from tenants. The Stage 1 tenant holds a 10 year lease from 2021 expiring in 2031. The table below shows tenants by share of passing income, anonymised at the request of the sponsor.

Tenant	Share of income	Expiry	Remaining term (years)
Tenant A	31.0%	Feb 2034	8.0
Tenant B	21.0%	Feb 2033	7.0
Tenant C	16.0%	Mar 2031	5.1
Tenant D	12.0%	Aug 2029	3.5
Tenant E	8.0%	Aug 2032	6.5
Tenant F	6.0%	Feb 2030	4.0
Tenant G	6.0%	Sep 2028	2.6
Total / WALE	**100.0%**		**6.1**

Tenancy schedule by income (remaining term measured from 20 February 2026)

The top three tenants contribute 68.0% of passing income. The 2031 and 2032 expiries together represent 24.0% of income, and no more than 31.0% of income expires in any single year. The expiry profile is shown below.



Lease expiries by calendar year, share of passing income

5.2 Vacancy

One tenancy of 1,600 sqm (2.5% of GLA) is vacant. The sponsor intends to spend A$1.6M on minor capital works to prepare the space for leasing. We have ascribed no value to the vacant tenancy and have made no deduction for the A$1.6M, as the works are discretionary and are not required to maintain the income of the leased areas.

5.3 Income and outgoings

Item	A$M per annum	Comment
Gross income (incl. recoveries)	9.8	Passing rent and outgoings recoveries
Operating expenses	(1.9)	Outgoings, management fee, non-recoverables
Net operating income	**7.9**	**Adopted for capitalisation**

Income summary, as reported in the Information Memorandum

Net income of A$7.9M equates to about A$123 per sqm of total GLA. The property is managed by Arcadia Asset Services Pty Ltd, a related party of the sponsor. We have tested the management fee against market and consider it to be within the normal range for an estate of this size. We have adopted a market-level fee in our net income, so the result does not depend on the related party arrangement.

6. Valuation analysis

6.1 Direct capitalisation

The direct capitalisation approach is the primary method for an income producing industrial estate of this kind. We have capitalised net operating income of A$7.9M at 5.25%, which produces a value of A$150.5M. This reflects an initial yield of 5.25% and A$2,352 per sqm of GLA. The capitalisation rate is supported by the comparable sales below, taking into account the estate's modern specification, 6.1 year WALE, fixed escalations averaging 3.5% and high occupancy, offset by tenant concentration and the vacant tenancy.

6.2 Comparable sales

Location	Sale date	GLA (sqm)	A$ per sqm	Initial yield
Derrimut	Nov 2025	41,800	2,410	5.15%
Truganina	Sep 2025	52,300	2,280	5.40%
Laverton North	Jul 2025	33,600	2,195	5.55%
Tarneit	Dec 2025	27,900	2,540	5.00%
Subject (adopted)	Feb 2026	64,000	2,352	5.25%

Comparable sales of western Melbourne industrial estates

The sales indicate a range of A$2,195 to A$2,540 per sqm and yields of 5.00% to 5.55%. The Tarneit and Derrimut sales had shorter site coverage or longer WALEs and are given less weight on yield. The Truganina sale is the most direct comparison in location and specification, and supports a rate close to 5.25% for the subject after allowing for the subject's larger lot size and concentration of income. At A$2,352 per sqm the subject sits within the range and is below the two sales with the strongest covenants, which we consider appropriate.

6.3 Discounted cash flow cross-check

We have prepared a ten year discounted cash flow using contracted escalations, market rent review assumptions on expiry, leasing downtime and incentives on re-letting, and a terminal yield of 5.60%. At a discount rate of 6.75% the cash flow indicates a value of about A$149.0M, within 1.0% of the capitalisation result.

6.4 Cost approach cross-check

The sponsor reports a total development cost of A$118.4M, including land of A$46.0M. Our value of A$150.5M implies a development margin of A$32.1M, or 27.1% on cost. This margin is within the range we would expect for stabilised, fully leased industrial development in the corridor, although the cost figure remains subject to the quantity surveyor's report and is used for cross-check purposes only.

6.5 Reconciliation

Approach	Indication (A$M)	Role
Direct capitalisation (5.25%)	150.5	Primary
Discounted cash flow	149.0	Cross-check
Direct comparison (A$2,352 per sqm)	150.5	Cross-check
Adopted market value	**150.5**	**Rounded to nearest A$0.5M**

Reconciliation of valuation approaches

7. Sensitivity and security assessment

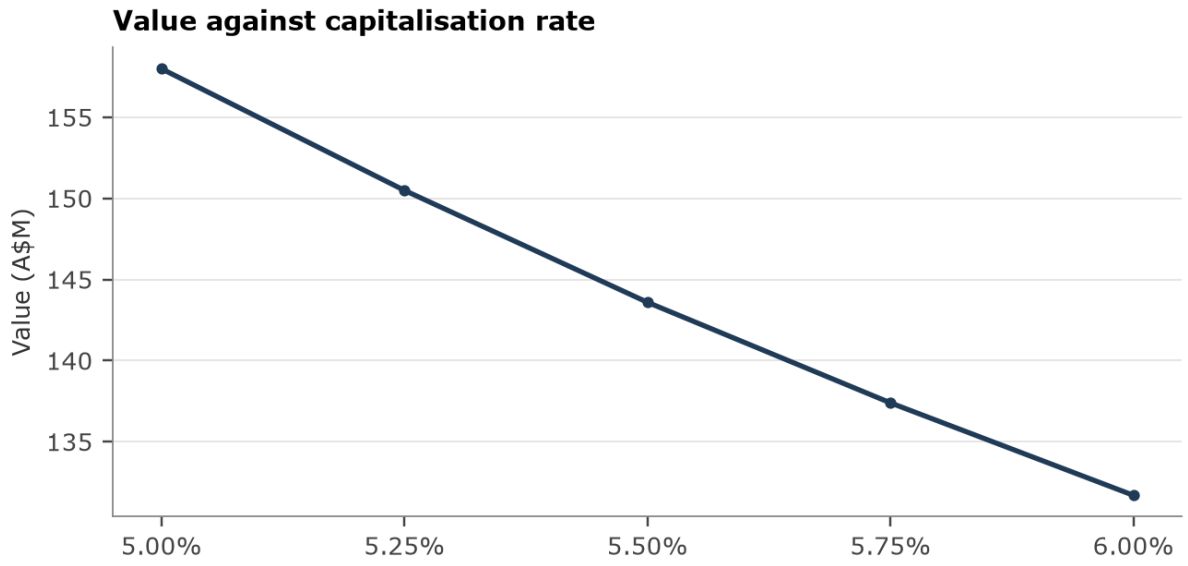
7.1 Loan to value ratio

On the proposed facility limit of A$88.0M the loan to value ratio (LVR) is 58.5% against our market value of A$150.5M. On reported net debt of A$85.6M the ratio is 56.9%. Value would need to fall to about A$125.7M, a decline of 16.5%, before the LVR on the full facility limit reached 70%.

7.2 Capitalisation rate sensitivity

Capitalisation rate	Value (A$M)	LVR on A$88.0M
5.00%	158.0	55.7%
5.25% (adopted)	150.5	58.5%
5.50%	143.6	61.3%
5.75%	137.4	64.0%
6.00%	131.7	66.8%

Direct capitalisation sensitivity on net income of A$7.9M



Market value at alternative capitalisation rates, net income of A$7.9M

The table shows pure capitalisation arithmetic. A softening of 50 basis points to 5.75% reduces the capitalisation value by A$13.1M. In practice a yield softening would be accompanied by a wider terminal yield and higher leasing allowances in the cash flow, and we therefore regard a reduction of around A$14M, to about A$136.5M and an LVR of approximately 64.5%, as the more realistic downside case.

7.3 Marketability

The estate is a prime asset in the most liquid industrial submarket in Victoria and would attract both institutional and private buyers. Its A$150.5M value limits the buyer pool to larger funds, and a sale would be expected to take longer than for lots below A$50M. A vacant possession or forced sale within a short period would likely achieve a lower price, and we have not assessed such a value.

8. Risks affecting the security

- Tenant concentration: the largest tenant contributes 31.0% of passing income and the top three contribute 68.0%. The default or non-renewal of one of them would reduce income materially, and re-letting a large warehouse in a market with significant new supply would involve downtime and incentives.
- Leasing risk: the 1,600 sqm vacancy and the 2031 and 2032 expiries, together 24.0% of income, will need to be re-let at or near current rents. A softer rental market would reduce value as well as income.
- Capitalisation rate risk: a 50 basis point softening in the capitalisation rate would reduce value by around A$14M and lift the LVR to approximately 64.5%.
- Refinancing and interest rate risk: the facility is interest only with a bullet repayment at month 60. Refinance will depend on the value and income at that time. Unhedged exposure to BBSW on 30% of drawn debt could reduce interest cover below 1.30x if base rates rise. The reported interest cover of 1.43x has not been assessed by us.
- Single asset and related party dependence: the security is one estate in one location, and asset management and leasing are provided by Arcadia Asset Services Pty Ltd under a related party management agreement.
- Environmental and planning risk: the former agricultural use and the historical contamination assessment, and the dependence of 24/7 operation on EPA Victoria conditions, are matters for specialist review. Our value assumes no contamination or compliance issue.

9. Assumptions, conditions and qualifications

- Title is good and marketable, free of encumbrances, easements or covenants that would affect value, other than the leases disclosed. We have not searched title.
- The tenancy schedule and lease terms supplied by Arcadia Industrial are accurate and complete, and all tenants are paying rent in accordance with their leases. Lease verification is to be completed by Marlowe & Finch Lawyers.
- Total development cost, revenue, EBITDA and net debt figures are taken from the Information Memorandum dated 9 February 2026 and have not been audited or verified by us.
- The site is not contaminated beyond the matters disclosed in the historical assessment, and all buildings comply with applicable building, fire and planning requirements.
- The quantity surveyor's report, financial statements and term sheet were not available at the valuation date. We reserve the right to revise our opinion should these documents contain material information not previously disclosed.
- This valuation is current at 20 February 2026. Property values change, and the report should not be relied on after 90 days from the valuation date, or earlier if market conditions change materially, without our written confirmation.

10. Reliance and certification

This report is prepared solely for Quillwood Credit Partners, and its assignees and participants in the facility, for the purpose stated. No other person may rely on it, and we accept no liability to any third party. The report may not be published or quoted in whole or in part without our written consent.

We certify that we have no pecuniary interest in the property or the borrower that would conflict with the proper valuation of the property. Our fee is not contingent on the value reported or on the outcome of the facility. The valuer has inspected the property and has the experience and local knowledge necessary to value it.

Valuer	Harcourt Pryor Valuers Pty Ltd
Signatory	Authorised signatory, Certified Practising Valuer (API)
Date of valuation	20 February 2026
Market value (as is)	A$150,500,000

Sign-off